

other locations. The demand was ₹5,000 crore in damages.

Interestingly, the recent dispute between the siblings involves a family settlement that was inked in 2017. It was decided, as a part of that deal, Abhishek would continue to operate the Lodha Group and Abhinandan would exit with cash and some real estate. Both are sons of Mangal Prabhat Lodha, founder of Macrotech Developers and a minister in the Maharashtra government.

The bone of contention was around what the contours of the 2017 settlement were and what it said about using the brand. “Whilst it is clear that Abhishek would retain control of Macrotech Developers (Lodha Group), it is likely that the settlement did not contain comprehensive clauses with relation to the use of the brand name ‘Lodha’ including its permissive use in overlapping businesses (real estate),” says Arush Khanna, Partner at law firm, Numen Law Offices.

The fact that Macrotech was compelled to take recourse to litigation raises the issue of whether the settlement had a clause for resolving disputes through arbitration or mediation. “It would have ensured confidentiality and averted intra-family issues from making the headlines.”

According to Harish Bijoor, CEO, Harsih Bijoor Consults, there are two aspects to the dispute that emerged. “One is about the family business and the other relates to the real estate business. Often, a family business does not make a clear difference between itself and the individual, with the ambiguity in surname only adding to the complexity,” he says.

Following the settlement, the brand rights of Lodha and Lodha group rest with Macrotech, while that of HoABL lies with Abhinandan.

Questions, however, remain

about who owns the brand and who’s allowed to use a version of it. Khanna says that in matters like this, either one person or group is given full rights to the brand (in this case, Lodha) or someone else is allowed to use a version of the brand with permission, like calling it “House of Abhinandan Lodha.”

“The right to use is often apportioned based on geographical and sectoral considerations to avoid competition and conflict within the same territory or in the same sector. The grey areas ordinarily surface during marketing and branding where public perception, and possible confusion leads to disputes on account of infringement,” Khanna said.

The tussle between brothers Mukesh Ambani and Anil Ambani is a rare example, where an Indian

ways,” he says.

The concept of brand value has gained importance only now. “An established brand is often the most lucrative form of intellectual property, making it a fertile cause of action for disputes. What is required is a more harmonious approach towards settling these disputes amicably and an adversarial contest takes a toll on the brand value,” thinks Khanna.

Grey areas need to be plugged, and a robust mechanism must be in place. Singh maintains that a two-fold mechanism must be adopted. “The family settlement should contain a mediation clause and a confidentiality clause to ensure they are done behind closed doors. Then, it should categorically outline how the names will be used to avoid confusion when it comes to interpretation.” This would mean providing

QUESTIONS, HOWEVER, REMAIN ABOUT WHO OWNS THE BRAND AND WHO’S ALLOWED TO USE A VERSION OF IT

| 17

conglomerate managed to settle brand dispute amicably.

In many ways, this is a phenomenon unique to India and Bijoor attributes it to the joint family system, from where businesses originate. “These issues come to the fore only when businesses start to get successful,” he says. In India, family businesses run for several generations.

Ashish Kumar Singh, Managing Partner at law firm Capstone Legal points towards Indian businesses and their tendency to keep family names as trademarks. “It could be for a variety of reasons including legacy, leading to a considerable overlap in the usage of trademark or family name when members go their own

clarity on whether a variant of Lodha (Lodha & Sons, for instance) can be used. “The definition of common property or what can be used by all and not belonging to anyone is at the core of it,” adds Bijoor.

For now, it appears as if all issues are resolved, and it is business as usual. However, being in the same industry—real estate—is the issue. “Both are keen to spread their wings and could very well cross paths or perhaps be at the crossroads in the medium to distant future,” says Khanna. When it comes to a brand, there is always a lot of intrigue. Lodha is no exception. **BT**

@krishnagopalan